As in many things, Warren takes a divergent view of diversification: "The strategy we've adopted precludes our following standard diversification dogma. Many pundits would therefore say the strategy must be riskier than that employed by more conventional investors. We believe that a policy of portfolio concentration may well decrease risk if it raises, as it should, both the intensity with which an investor thinks about a business and the comfort-level he must feel with its economic characteristics before buying into it."

Warren understands that great ideas come along only on rare occasion, so he keeps the bar high, only invests in great ideas, and bets big when he sees one. Thus, he commits significantly to the companies and people he believes in; he doesn't hold anything just because others do and he's worried it may perform well without his being represented; and he refuses to diversify into things he thinks less of just to mitigate the impact of errors—that is, to practice what he calls "de-worstification." It's obvious that all of these things are essential if you're to have a chance at great results. But that doesn't keep them from being the exception in portfolio management, not the rule.

- **He's willing to be inactive**. Too many investors act as if there's always something great to do. Or perhaps they think they have to give the impression that they're smart enough to always be able to find a brilliant investment. But great investment opportunities are exceptional . . . and by definition, that means they're not available every day.

  Warren is famously willing to be inactive for long periods of time, turning down deal after deal until the right one comes along. He's famous for his analogy to one of baseball's greatest hitters, Ted Williams, standing at the plate with his bat on his shoulder and waiting for the perfect pitch; it exemplifies his insistence on making investments only when they're compelling. Who would argue that the supply of good deals is steady, or that it's always an equally good time to invest?

- **Finally, he's not worried about losing his job.** Very few investors are able to take all the actions they think are right. Many are constrained in terms of their ability to buy assets that are illiquid, controversial or